Transmission Services Holdings, LLC
Financial Statements as of and for the Years Ended December 31, 2025 and 2024 and Independent Auditor's Report

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INDEPENDENT AUDITOR'S REPORT

Transmission Services Holdings, LLC
700 Universe Blvd.
Juno Beach, FL

Opinion

We have audited the consolidated financial statements of Transmission Services Holdings, LLC (the "Company"), which comprise the consolidated balance sheets as of December 31, 2025 and 2024, and the related consolidated statements of operations, changes in equity, and cash flows for the years then ended, and the related notes to the consolidated financial statements (collectively referred to as the "financial statements").

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the financial position of the Company as of December 31, 2025 and 2024, and the results of its operations and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Company and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for one year after the date that the financial statements are available to be issued.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from

fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Deloitte & Touche LLP

March 05, 2026

TRANSMISSION SERVICES HOLDINGS, LLC
BALANCE SHEETS
AS OF DECEMBER 31, 2025 AND DECEMBER 31, 2024
(in thousands)

	2025	2024
ASSETS		
Current assets:		
Cash and cash equivalents	$ 26,654	$ 13,292
Restricted cash	9,057	8,054
Accounts receivable	19,077	22,119
Due from related parties	282	572
Inventory	24,596	24,596
Regulatory assets	1,070	1,689
Prepaid expenses and other current assets	3,365	5,493
Total current assets	84,101	75,815
Non-current assets:		
Property, plant and equipment, net	537,026	520,052
Regulatory assets	15,526	14,367
Right of use assets, net	95,090	95,325
Other assets	2,045	3,629
Total non-current assets	649,687	633,373
TOTAL ASSETS	$ 733,788	$ 709,188
LIABILITIES AND EQUITY		
Current liabilities:		
Accounts payable	$ 5,626	$ 8,113
Due to related parties	1,188	63
Current maturities of long-term debt	15,369	18,840
Derivative liability	1,934	2,135
Current lease obligation	333	378
Accrued expenses and other current liabilities	1,730	2,079
Total current liabilities	26,180	31,608
Non-current liabilities:		
Long-term debt, net	356,524	351,582
Asset retirement obligation	11,352	10,861
Derivative liability	8,810	10,133
Long-term lease obligation	94,796	94,988
Regulatory liabilities	416	95
Other liabilities	12,302	12,540
Total non-current liabilities	484,200	480,199
TOTAL LIABILITIES	510,380	511,807
EQUITY	223,408	197,381
TOTAL LIABILITIES AND EQUITY	$ 733,788	$ 709,188

The accompanying notes are an integral part of these financial statements.

TRANSMISSION SERVICES HOLDINGS, LLC
STATEMENTS OF OPERATIONS
FOR THE YEARS ENDED DECEMBER 31, 2025 AND 2024
(in thousands)

	2025	2024
OPERATING REVENUES	$ 135,077	$ 135,130
OPERATING EXPENSES		
Operations and maintenance	25,637	23,403
Depreciation and amortization	22,347	25,397
Taxes other than income taxes and other	8,899	9,123
Impairment of long-lived assets	1,906	—
Total operating expenses	58,789	57,923
OPERATING INCOME	76,288	77,207
OTHER EXPENSE		
Interest expense, net	(13,163)	(14,254)
Allowance for equity funds used during construction	2,911	1,073
Other - net	—	(673)
Total other expense - net	(10,252)	(13,854)
NET INCOME	$ 66,036	$ 63,353

The accompanying notes are an integral part of these financial statements.

TRANSMISSION SERVICES HOLDINGS, LLC
STATEMENTS OF CHANGES IN EQUITY
FOR THE YEARS ENDED DECEMBER 31, 2025 AND 2024
(in thousands)

	Equity
Balance December 31, 2023	$ 163,979
Distributions	(29,951)
Net income	63,353
Balance December 31, 2024	$ 197,381
Contributions	13
Distributions	(40,022)
Net income	66,036
Balance December 31, 2025	$ 223,408

The accompanying notes are an integral part of these financial statements.

TRANSMISSION SERVICES HOLDINGS, LLC
STATEMENTS OF CASH FLOWS
FOR THE YEARS ENDED DECEMBER 31, 2025 AND 2024
(in thousands)

	2025	2024
CASH FLOWS FROM OPERATING ACTIVITIES		
Net income	$ 66,036	$ 63,353
Adjustments to reconcile net income to net cash provided by operating activities:		
Depreciation and amortization	19,689	25,397
Amortization of regulatory assets	858	—
Amortization of debt issuance costs	311	—
Other amortization	1,800	427
Change in value of derivative contracts	(1,523)	(1,998)
Impairment of long-lived assets	1,906	—
Allowance for equity funds used during construction	(2,911)	—
Other operating - net	—	(400)
Changes in operating assets and liabilities:		
Current assets	6,080	(4,580)
Non-current assets	1,199	(2,020)
Current liabilities	(474)	345
Non-current liabilities	(941)	(193)
Net cash provided by operating activities	92,030	80,331
CASH FLOWS FROM INVESTING ACTIVITIES		
Capital expenditures	(38,816)	(25,738)
Net cash used in investing activities	(38,816)	(25,738)
CASH FLOWS FROM FINANCING ACTIVITIES		
Contributions	13	—
Distributions	(40,022)	(29,951)
Issuances of long-term debt	20,000	—
Repayments of long-term debt	(18,840)	(18,305)
Net cash used in financing activities	(38,849)	(48,256)
NET CHANGE IN CASH, CASH EQUIVALENTS AND RESTRICTED CASH	14,365	6,337
CASH, CASH EQUIVALENTS AND RESTRICTED CASH AT THE BEGINNING OF THE PERIOD	21,346	15,009
CASH, CASH EQUIVALENTS AND RESTRICTED CASH AT THE END OF THE PERIOD	$ 35,711	$ 21,346
SUPPLEMENTAL DISCLOSURE OF CASH FLOW INFORMATION		
Cash paid during the period for interest - net of AFUDC	$ 15,720	$ 17,363
SUPPLEMENTAL DISCLOSURE OF NON-CASH INVESTING AND FINANCING ACTIVITIES		
Accrued but not paid for capital expenditures	$ 4,941	$ 6,223

The accompanying notes are an integral part of these financial statements.

NOTE 1 - ORGANIZATION AND NATURE OF BUSINESS

Transmission Services Holdings, LLC (the "Company"), formed in October 2010, is a wholly-owned subsidiary of NextEra Energy Transmission, LLC ("NEET"), which in turn is a wholly-owned subsidiary of NextEra Energy Infrastructure, LLC ("NEEI"). NEEI is a wholly-owned subsidiary of NextEra Energy Capital Holdings, Inc., which in turn is a wholly-owned subsidiary of NextEra Energy, Inc. ("NextEra Energy"), a company listed on the New York Stock Exchange.

The Company holds a 100% direct ownership interest in Trans Bay Cable, LLC ("TBC"), a public utility that operates a 53 mile, 400-megawatt high voltage direct current transmission line, which connects a converter station in the City of Pittsburg to a similar converter station in the City and County of San Francisco (the "Project"). The Project was completed and placed into commercial operation on November 23, 2010.

NOTE 2 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Basis of Presentation - The consolidated financial statements have been prepared on the accrual basis of accounting in accordance with accounting principles generally accepted in the United States of America ("GAAP"). All significant intercompany balances have been eliminated in consolidation.

Use of Estimates - The preparation of consolidated financial statements in conformity with GAAP requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the consolidated financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

Regulatory Accounting - As a public utility operating in California, the Company is within the jurisdiction of the California Public Utilities Commission ("CPUC") with respect to operational performance, use and disposition of utility property, siting of new utility assets, and other CPUC regulations and general orders. However, because the Company is engaged exclusively in providing the wholesale transmission of electricity in interstate commerce, the Federal Energy Regulatory Commission ("FERC") has sole jurisdiction to regulate and approve the Company's annual Transmission Revenue Requirement ("TRR") as set forth in its Transmission Owner Tariff. The TRR is based on the Company's costs of service and is intended to allow the Company to recover costs prudently incurred in the development, financing, construction, operation and maintenance of the Project including a return on capital invested in the Project. The Company's TRR is paid by the California Independent System Operator ("CAISO") pursuant to a Participating Transmission Owner ("PTO") agreement under which the Company has a right to share in a portion of the total transmission access charge the CAISO levies on all entities that withdraw energy from the CAISO-controlled transmission grid. Such TRR is generally paid without regard to Project usage or availability.

As a regulated utility, the Company records assets and liabilities that result from the regulated ratemaking process that would otherwise not be recorded under GAAP for non-regulated companies. Regulatory assets represent costs that will be included as a component of future tariff rates and regulatory liabilities represent amounts that have been collected in current rates to recover costs that are expected to be incurred, or refunded to customers, in future periods.

When regulatory assets are probable of recovery through regulated rates, the Company records them as assets on the balance sheet. Once a regulatory asset is recorded, the Company reviews the probability of recovery at each balance sheet date, considering the impact of any changes or events during the period. If the likelihood of future recovery of any regulatory asset becomes less than probable, the Company will write off that regulatory asset as a charge against income.

See Note 3 - Regulatory Matters for additional information.

Cash and Cash Equivalents - All highly liquid investments with a maturity at the date of purchase of three months or less are considered cash. Cash for short-term working capital needs is held in financial institutions.

Accounts Receivable - Receivables are associated with revenues earned from contracts with customers consisting of both billed and unbilled amounts. Receivables represent unconditional rights to consideration and reflect the differences in timing of revenue recognition and cash collections. If any of the customer receivable balances should be deemed uncollectible, it could have a material adverse effect on the Company's results of operations and financial condition. However, management does not believe significant credit risk existed at December 31, 2025 and 2024. Accounts receivable balances would be adjusted for any write-offs and any estimated allowance for doubtful accounts, which is calculated on the basis of the expected credit losses. The allowance for doubtful accounts is reviewed periodically, considering historical and current information such as average write-offs to estimate the expected credit losses. There was no allowance for doubtful accounts recorded as of December 31, 2025 or 2024, respectively.

Receivables represent unconditional rights to consideration and reflect the differences in timing of revenue recognition and cash collections. If any of the customer receivable balances should be deemed uncollectible, it could have a material adverse effect on the Company's results of operations and financial condition. However, management does not believe significant credit risk existed at December 31, 2025 and 2024. Accounts receivable balances would be adjusted for any write-offs and any estimated allowance for doubtful accounts, which is calculated on the basis of the expected credit losses. The allowance for doubtful accounts is reviewed periodically, considering historical and current information such as average write-offs to estimate the expected credit losses. There was no allowance for doubtful accounts recorded as of December 31, 2025 or 2024, respectively.

Revenue Recognition - The Company has one customer, the CAISO, who accounts for 100% of the Company’s transmission revenue. The Company recognizes revenue on a straight-line basis on its annual Transmission Revenue Requirement ("TRR") as approved by the FERC and collects cash on a weekly basis from the CAISO. When actual cash receipts are different than the TRR, a Transmission Revenue Balancing Account ("TRBA") is used to accumulate these timing differences. The Company prepares a Transmission Revenue Balancing Account Adjustment ("TRBAA") filing with the Federal Energy Regulatory Commission ("FERC") on an annual basis based on the timing difference balance at September 30.

Property, Plant and Equipment, Net - Property, plant and equipment, net consists primarily of transmission assets. Property, plant and equipment are recorded at cost and depreciated on a straight-line average remaining life basis. Accumulated depreciation consists of the cost of units of property retired less estimated net salvage value. Maintenance and repairs of property as well as replacements and renewals of items determined to be less than units of property are charged to operations and maintenance expenses.

Construction work in progress includes construction materials, progress payments on major equipment contracts, third-party engineering costs and other costs directly associated with the construction of various projects. Upon completion of the projects, these costs are transferred to property, plant and equipment in service.

Impairment of Long-Lived Assets - Long-lived assets that are held and used are reviewed for impairment whenever events or changes in circumstances indicate carrying values may not be recoverable. For the year ended December 31, 2025, the Company recorded impairment of assets of $1,906.

See Note 4 - Property, plant and equipment for additional information.

AFUDC - Allowance for funds used during construction ("AFUDC") represents the estimated costs of borrowed and equity funds used to finance regulated plant additions before they go into service and is capitalized as part of the cost of construction. AFUDC is recoverable through rates over the life of the related asset once that asset is placed in service. AFUDC related to the cost of borrowed funds is recorded as a reduction to interest expense. AFUDC related to the cost of equity funds is recorded as a component of other income. The Company recorded total AFUDC related to borrowed and equity funds of $2.9 million and $1.1 million during 2025 and 2024, respectively.

Restricted Cash - Restricted cash consists of amounts recovered through the Company's TRR to fund the Company's asset retirement obligations.

Income Taxes - The Company is a limited liability company and is treated as a disregarded entity for tax purposes. Accordingly, the Company is not subject to federal or state income taxes, and no provision for income taxes has been recorded in the accompanying consolidated financial statements. While the Company is exempt from filing

federal and state income tax returns, taxable income associated with the Company's operations is allocated to NextEra Energy who will be responsible for payment of federal and state income taxes.

Debt Issuance Costs - Debt issuance costs are costs incurred and capitalized in connection with obtaining financing and are amortized over the expected term of the debt as interest expense using a method which approximates the effective-interest method.

Inventory - Inventory consists of materials, supplies and spare parts maintained by the Company for the continued maintenance of the Project assets and are held at the lower of cost or net realizable value, with cost being determined on a weighted average basis. Materials and supplies are recorded to inventory when received and expensed or capitalized to plant, as appropriate, when consumed or installed.

Prepaid Expenses and Other Current Assets - Prepaid expenses and other current assets consist primarily of deposits and prepaid amounts. Prepaid amounts expected to be used within one year are classified as current.

Asset Retirement Obligations - Asset retirement obligations are those for which a legal obligation exists under laws, statutes, and written or oral contracts, including obligations arising under the doctrine of promissory estoppel, and for which the timing or method of settlement may be conditioned on a future event.

The Company accounts for asset retirement obligations and conditional asset retirement obligations (collectively, "AROs") in accordance with GAAP which requires that a liability for the fair value of an ARO be recognized in the period in which it is incurred if it can be reasonably estimated, with the offsetting associated asset retirement costs capitalized as part of the carrying amount of the long-lived asset. The asset retirement cost is subsequently allocated to expense using a systematic and rational method over the asset's estimated useful life. Changes in the ARO resulting from the passage of time are recognized as an increase in the carrying amount of the liability and as accretion expense, which is included in depreciation and accretion in the Company's consolidated statement of operations. Changes resulting from revisions to the timing or amount of the original estimate of cash flows are recognized as an increase or a decrease in the asset retirement cost, or income when the asset retirement cost is depleted.

The application of these accounting standards related to asset retirement obligations is earnings neutral to the Company as the difference between amounts recognized as expense and, amounts collected in rates, is shown as a regulatory asset or liability.

See Note 5 - Asset Retirement Obligations for additional information.

Accounting for Derivative Instruments and Hedging Activities - Derivative instruments, when required to be marked to market, are recorded on the Company's balance sheets as either an asset or liability measured at fair value. For interest rate swaps designated as cash flow hedges, generally the Company assesses a hedging instrument's effectiveness by using non-statistical methods including dollar value comparisons of the change in the fair value of the derivative to the change in the fair value or cash flows of the hedged item.

See Note 7 - Derivative Instruments and Hedging Activity for additional information.

Fair Value - The fair value of assets and liabilities are determined using either unadjusted quoted prices in active markets (Level 1) or pricing inputs that are observable (Level 2) whenever that information is available and using unobservable inputs (Level 3) to estimate fair value only when relevant observable inputs are not available.

The Company has categorized the interest rate protection agreements as Level 2 financial instruments as the fair value is determined based on inputs that are readily available in public markets or can be derived from information available in publicly quoted markets. The interest rate protection agreements were valued by discounting the net cash flows using the London Interbank Offered Rate (LIBOR) curve, adjusted by nonperformance risk factors.

The fair values of cash, accounts receivable, accounts payable, accrued expenses, short-term debt and other liabilities are approximately equal to their carrying values due to their short-term nature.

The Company recognizes any transfers between levels in the fair value hierarchy as of the end of the reporting period. For the years ended December 31, 2025 and 2024, there were no transfers between levels.

Leases - The Company determines if an arrangement is a lease at inception. The Company recognizes a right-of-use (“ROU”) asset and a lease liability for operating leases by recognizing and measuring leases at the commencement date based on the present value of lease payments over the lease term. The Company has elected not to apply the recognition requirements to short-term leases and not to separate non-lease components from associated lease components for substantially all classes of underlying assets. Operating lease expense is included in operations and maintenance ("O&M") expense in the consolidated statements of operations.

See Note 8 - Leases for additional information.

NOTE 3 - REGULATORY MATTERS

Regulatory assets and liabilities include the following as of December 31:

	2025	2024
Pittsburg settlement agreement [a]	$ 13,372	$ 13,612
Rate case costs - TO4 [b]	—	619
Asset removal costs [c]	3,224	1,825
Total regulatory assets	$ 16,596	$ 16,056
Less: Current regulatory assets	(1,070)	(1,689)
Non-Current regulatory assets	$ 15,526	$ 14,367
Asset retirement obligation [d]	$ 416	$ 95
Non-Current regulatory liabilities	$ 416	$ 95

[a] Pittsburg Settlement Agreement

In November 2010, the Company, the Pittsburg Power Company ("PPC"), the City of Pittsburg and the Redevelopment Agency of the City of Pittsburg entered into a Settlement Agreement and Mutual Release ("the Pittsburg Settlement Agreement") to terminate certain agreements related to the operation and ownership of the Project and to modify other agreements. The on-going payments under the Pittsburg Settlement Agreement are included in the Company's TRR as operating costs to be recovered in rates when paid over the term of the agreement.

[b] Rate Case Costs

The Company filed its fourth transmission owner tariff ("TO4") rate case in September 2019. As of December 31, 2020, costs associated with the TO4 rate case will be recovered over a period of 67 months starting in April 2020.

[c] Asset Removal Costs

Asset removal costs that are recoverable from customers are recorded as regulatory assets to reflect the timing difference between costs recovered through the rate-making process and recognition of costs.

[d] Asset Retirement Obligation

The asset retirement obligation regulatory asset reflects the difference between amounts the Company recovered through rates for ARO and those recognized as expense in accordance with applicable accounting standards. The Company expects to recover through rates the full cost of its asset retirement obligations over the life of the Project.

TRR Submissions

TO4 called for a new annual TRR of $157.3 million with an effective date of November 23, 2019. In November 2019, FERC issued its order on the TO4 filing, accepting the proposed TRR and suspending it for five months to be effective April 23, 2020, subject to refund. As a result, the Company's annual TRR of $133.9 million was in effect until April 22, 2020 and the new TRR of $157.3 million was in effect starting April 23, 2020.

In September 2020, the Company and intervening parties filed a settlement agreement with FERC which would establish a new TRR of approximately $135 million, effective as of April 23, 2020 ("2020 Settlement"). The new TRR would be in effect until at least January 1, 2026 absent a FERC filing by either the Company or another party. In November 2020, FERC issued an order approving the 2020 Settlement as filed with no changes. As of December 31, 2025 and 2024, the Company has recorded a provision for rate refund of $0.0 million and $0.9 million, respectively.

In 2025 and 2024, annual cash receipts were under the TRR, and accordingly the Company recorded TRBAA receivable of $6.7 million and $11.2 million at December 31, 2025 and 2024, respectively. The TRBAA amount is effective on January 1 of each year and is settled over the calendar year.

Securities Issuances

In May 2024, the Company filed an application with FERC for authorization to issue securities, whereby the Company would be reauthorized a line of credit not to exceed $80 million to be used for general corporate purposes. In June 2024, FERC approved the authorization, effective from July 1, 2024, to June 30, 2026.

Transaction Approvals

On August 5, 2025, TBC filed an application with FERC pursuant to section 203 of the Federal Power Act in Docket No. EC25-124-000 for authorization of a transaction whereby the Company would convey (1) 50% of the membership interests of Trans Bay Funding II LLC ("TBF II"), which wholly owns the Company, to a newly formed Delaware limited liability company, Trans Bay Cable Holdings, LLC, and (2) 50% of the membership interests of TBF II to California Transmission Company L.P., giving each entity an indirect 50% interest in the Company. On October 17, 2025, FERC issued an order approving the transaction. NEET expects to close the sale in the first quarter of 2026, subject to the satisfaction of customary closing conditions, for cash proceeds of approximately $270 million, subject to closing adjustments.

NOTE 4 - PROPERTY, PLANT AND EQUIPMENT

Property, plant and equipment, net consists of the following as of December 31:

	2025	2024
Organization	$ 875	$ 875
Franchises and consents	28,553	28,513
Miscellaneous intangible plant	2,134	7,072
Land and land rights	63,020	63,020
Computer Hardware	19,004	—
Communication and Equipment	3,321	—
Leasehold Improvements	170	—
Structures and improvements	112,808	114,417
Computer Software	17,019	—
Underground Conduit	15,240	15,240
Underground conductors	196,340	195,500
Station equipment	249,618	249,647
Office furniture and equipment	136	15,044
Transportation equipment	594	22,332
Asset retirement costs for transmission plant	5,193	5,193
Tools/Shop Equip-Portable	432	—
Marine Equipment	21,726	—
Stores equipment	273	581
General and other	—	313
Property, plant and equipment in service	736,456	717,747
Construction work in progress	26,606	17,030
Property, plant and equipment	763,062	734,777
Less: Accumulated depreciation and amortization	(226,036)	(214,725)
Property, plant and equipment, net	$ 537,026	$ 520,052

Depreciation is recorded on a straight-line basis based on the following rates:

Account Name	Depreciation Rate
Organization	2.50%
Franchise and consents	2.50%
Miscellaneous intangible plant	2.50%
Land and land rights	2.50%
Structures and improvements	2.50%
Underground conduit	2.50%
Underground conductors	2.50%
Stores equipment	20.00%
Station equipment	2.50% to 33.33%
Office furniture and equipment	2.50% to 33.33%
Transportation equipment	4% to 20%
General and other	14.29% to 20.00%

Depreciation and amortization was $19,842 and $22,771 for the years ended December 31, 2025 and 2024, respectively.

NOTE 5 - ASSET RETIREMENT OBLIGATIONS

The Company's AROs are the estimated cost of decommissioning the Project assets as required by the ground leases for the two converter stations, including removal of the cable in the San Francisco Bay.

The estimated cost of the asset retirement obligations is based on evaluations by the Company's management using experienced third parties. The estimated costs include the cost to remove all buildings, equipment, and foundations.

	Amount
Balance, December 31, 2023	$ 10,391
Accretion expense	470
Balance, December 31, 2024	10,861
Accretion expense	491
Balance, December 31, 2025	$ 11,352

NOTE 6 - LONG-TERM DEBT

Long-term debt consists of the following as of December 31:

		2025		2024	
	Maturity Date	Balance	Weighted Average Interest Rate	Balance	Weighted Average Interest Rate
2.93% Senior Note Maturing 2047	6/30/2047	$ 117,213	2.93 %	$ 125,211	2.93 %
3.82% Senior Note Maturing 2047	6/30/2047	181,293	3.82 %	191,170	3.82 %
5.29% Senior Note Maturing 2052	12/30/2052	57,244	5.29 %	58,210	5.29 %
Revolving Credit Facility	6/30/2027	20,000	5.06 %	—	— %
Less unamortized debt issuance costs		(3,857)		(4,168)	
Total debt, net		371,893		370,422	
Less current portion of long-term debt		(15,369)		(18,840)	
Long-term debt, net		$ 356,524		$ 351,582	

Senior Notes
The Note Purchase Agreements that governs the Senior Notes ranks them pari passu with all obligations of the Company (as defined), provides noteholder protection against early redemptions in the form of make whole payments, and includes covenants that, among other things, limits the Company's ability to incur additional indebtedness under certain circumstances.

The TBC notes rank pari passu with all obligations of TBC, while the Company's notes are structurally subordinate to TBC's indebtedness.

The future minimum principal payments are due as follows:

2026	$ 15,369
2027	35,566
2028	16,179
2029	15,462
2030	15,839
Thereafter	277,334
Total	$ 375,750

Credit Facility
On June 30, 2017, TBC closed on a secured revolving credit facility with capacity in the amount of $60 million. On June 30, 2022, the credit facility capacity was increased to $80 million. Interest on the credit facility has an undrawn interest rate of 0.20% and a drawn interest rate of SOFR plus 1.225%. As of December 31, 2025 there was $20M drawn against the facility.

Interest expense, net consists of the following:

	2025	2024
Interest expense	$ 14,873	$ 14,866
Swap interest expense	2,191	2,424
Amortization of debt issuance costs	433	464
Other	(2,810)	(1,458)
Total interest expense	$ 14,687	$ 16,296
Gain on derivative instruments and hedging activity (see Note 7)	(1,524)	(2,042)
Total interest expense - net	$ 13,163	$ 14,254

NOTE 7 - DERIVATIVE INSTRUMENTS AND HEDGING ACTIVITY

TBC holds economic responsibility for two swaps through provisions of a Swap Reimbursement Agreement, which requires the Company to reimburse TSH for all cash flows and any other costs related to the swaps. The first swap ("Swap A") had a notional amount of $86.1 million and $95.0 million at December 31, 2025 and 2024, respectively. The swap expires in 2040, provides that the Company receives a floating rate based on a 3 month SOFR, and pays a fixed rate of 5.40%. The second swap ("Mirror Swap"), is a mirror of the first, and has the same notional value as Swap A with the same expiration date, but with opposite cash flows whereby the Company pays based on the same SOFR based floating rate as Swap A and receives fixed-rate payments of 3.05%. Changes in fair value of the swaps are recorded in the statements of income. During 2025 and 2024, total gain related to the change in fair value of the swaps was $1.5 million and $2.0 million, respectively.

During 2025 and 2024, the Company recognized total costs associated with the cash outflows on these swaps of $2.2 million and $2.4 million, respectively, which are included in interest expense in the accompanying statements of income.

NOTE 8 - LEASES

The Company has operating leases related to land use agreements, towers and a barge. Lease payments under the use agreements are fixed and convey exclusive use of the land and equipment during the arrangement. The Company's operating leases expire between 2026 and 2106, with an option to extend the leases expiring in 2026.

The Company's operating lease liabilities were calculated based on a weighted average discount rate of 5.26% (OPER) and 3.19% (FIN) based on the incremental borrowing rate at the adoption date.

Operating lease expense is included in operations and maintenance expense in the Company's statements of operations. The Company recorded a lease expense of $5.1 million and $5.1 million respectively for the years ended December 31, 2025 and 2024.

For the years ended December 31, 2025 and 2024, cash paid for amounts included in the measurement of lease liabilities were $5.1 million and $5.1 million, respectively, and were included within operating cash flows on the statements of cash flows.

The following table presents fixed operating lease payments and a reconciliation of the undiscounted cash flows to operating lease liabilities as of December 31, 2025:

2026	$ 5,092
2027	5,065
2028	5,069
2029	5,072
2030	5,076
Thereafter	380,979
Total lease payments	406,353
Less: imputed interest	(311,223)
Total Lease Obligation	$ 95,130

NOTE 9 - RELATED PARTY TRANSACTIONS

The Company entered into Corporate Support Services Agreements with subsidiaries of NextEra Energy whereby the Company pays a certain annual fee plus actual costs incurred in connection with operating, maintenance, and administrative services performed under these agreements.

Inversely, the Company may provide occasional support to affiliates. Income is recorded directly as a reduction to the expenses.

Amounts relating to affiliate companies are as follows as of and for the years ended December 31:

	Payable		Receivable		(Incoming) Outgoing Charges	
	2025	2024	2025	2024	2025	2024
NEER	$ 91	$ 28	$ 5	$ —	$ (548)	$ (665)
NEET	870	—	218	540	(3,952)	(3,512)
FPL	220	29	39	32	(1,827)	(1,817)
NEE	7	6	20	—	(256)	144
Total	$ 1,188	$ 63	$ 282	$ 572	$ (6,583)	$ (5,850)

The provisions of a Swap Reimbursement Agreement require TBC to reimburse TSH for all cash flows and any other costs related to the swaps. These reimbursements totaled $2.2 million and $2.4 million in 2025 and 2024, respectively.

See Note 7 - Derivative Instruments and Hedging Activity for additional information.

NOTE 10 - COMMITMENTS

The Company has commitments relating to certain capital improvement projects and maintenance of existing facilities, as well as commitments under long-term agreements relating to grid reliability. The future minimum payments for the Company's commitments as of December 31, 2025, are as follows:

2026	$ 16,557
2027	3,961
2028	3,862
2029	3,903
2030	3,911
Thereafter	27,396
Total	$ 59,590

NOTE 11 - SUBSEQUENT EVENTS

The Company has evaluated the recognition and disclosure of subsequent events for its December 31, 2025 financial statements through the date the financial statements were available to be issued, March 5, 2026.

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